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Alphabet Inc (GOOGL.O)

4Q25 Preview: Focusing on Query Growth, Gemini Adoption, & Cloud Demand Amidst Improving Online Adv. Macro

CITI'S TAKE

Alphabet reports 4Q25 results on Wednesday, February 4th AMC and given positive online advertising checks amid continued strong Google Cloud demand, we believe results are likely to come in above consensus revenue and GAAP EPS expectations. With Gemini's product strategy ramping following the launch of Gemini 3, Personal Intelligence, and its newly announced Apple partnership, Agentic Commerce approach emerging with UCP & Direct Offers ad units, amid continued query growth acceleration, we believe Google Properties is well positioned to gain share. This as Google's vertically integrated approach across Gemini, TPUs, and its infra/compute capacity should lead to accelerating Cloud revenue growth. And while we're watching Google's CapEx investments, we believe it is increasingly well positioned as its AI strategy evolves amid continued operational efficiencies. GOOGL remains a Top Pick across the Internet sector and we reiterate our Buy rating and \$350 TP.

4Q25 Earnings: Wednesday 02/04, AMC & Call @ 4:30pm ET ([Webcast](#)).

5 Key Areas We're Watching into 4Q25 Earnings: 1) Gemini adoption and whether AI Search continues to drive query growth—as Google increasingly combines AI-O, AI-M, and Gemini into a core GenAI answer experience; 2) Positive Search monetization demand trends—we now project 4Q Search revenues +14.5% Y/Y following consistently positive 4Q online advertising and search budget checks; 3) Cloud demand and whether accelerating growth continues into '26—we think it can and project Cloud rev growth accelerates to +36% Y/Y in 4Q25 and +38% Y/Y in '26E driven by Gemini adoption; 4) OI margin expansion as Google benefits from its (durably) re-engineered cost base; and 5) CapEx & infrastructure investments—we track \$140B+ of planned investments; and insights into the Intersect acquisition.

4Q25 Expectations: We project total gross revenue of \$112B (+16.1% Y/Y) on strength across Search (+14.5% Y/Y), YT (+13.5% Y/Y), and Cloud (+36% Y/Y); OI of \$38.1B (34.0% margin; +190bps Y/Y), and GAAP EPS of \$2.65 vs. consensus revs/OI/GAAP EPS of \$111.2B, \$36.8B, and \$2.64, respectively.

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons	VA Cons
2024A	1.89A	1.89A	2.12A	2.15A	8.04A	8.04A	9.43A
2025E	2.81A	2.31A	2.87A	2.65E	10.64E	10.59E	11.28E
Previous	2.81A	2.31A	2.87A	2.62E	10.61E	na	na
2026E	2.53E	2.72E	2.87E	3.12E	11.24E	11.22E	12.08E
Previous	2.51E	2.70E	2.84E	3.08E	11.13E	na	na
2027E	na	na	na	na	13.22E	12.98E	13.98E
Previous	na	na	na	na	13.03E	na	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus. VA Cons: Visible Alpha Consensus.

Click [here](#) for Visible Alpha consensus data

Buy

Price (21 Jan 26 16:00)	US\$328.38
Target price	US\$350.00
Expected share price return	6.6%
Expected dividend yield	0.3%
Expected total return	6.8%
Market Cap	US\$3,962,561M

Price Performance

(RIC: GOOGL.O, BB: GOOGL US)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

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5 Key Areas We're Watching into 4Q25 Earnings:

- **1) Gemini Adoption and Whether AI Search Continues to Drive Query Growth**—Which we think it can as Gemini app MAUs +164% Y/Y in 4Q and as Google increasingly combines AI-O, AI-M, and Gemini into a core GenAI answer experience as the launches of Gemini 3, integration of Gemini to Gmail, & Personal Intelligence, among others lead to greater adoption; **2) Positive Search Monetization Demand Trends**—we now project 4Q Search revenue growth of +14.5% Y/Y following consistently positive 4Q online advertising and search budget checks (with potential upside here) and we are watching additional growth drivers from Agentic Commerce following the launch of UCP and Direct Offers that leverage Google's 50B+ product listings and Agentic Travel, among other core verticals; **3) Cloud Demand and Whether Accelerating Growth Continues into '26**—We think it can and currently project Cloud rev growth to accelerate to +36% Y/Y in 4Q25 and +38% Y/Y in '26E driven by Gemini adoption (1.3Q+ monthly tokens processed as of Oct., +20x Y/Y), TPUs, and continued capacity investments and with 3Q's 82% Cloud Backlog growth (we note 70%+ of Cloud customers have adopted Google's AI products), our projections could prove conservative; **4) OI Margin Expansion as Google Benefits from its (durably) Re-engineered Cost Base**—we project OI margins to expand +190bps Y/Y to 34.0% in 4Q and +250bps Y/Y in '26E to 35.2% given ~50% of code is AI-generated and continued efficiencies across the organization, despite continued investments; and **5) CapEx & Infrastructure Investments—We Track \$140B+ of Planned Investments; Intersect Acquisition**—we project '26E CapEx of ~\$129B (vs. FactSet consensus of \$114B), note Google has announced ~\$140B of infra investments since May '25 (see Figure 13), and we'll be listening for plans around its \$4.75B+ acquisition of Intersect to expand capacity and building new power generation.

Key Metrics We're Focused on for 4Q25

- **Search & Other Revenue: We Project +14.5% Y/Y**—this compares to consensus of +13.7% Y/Y and we note our positive 4Q Search & Online Adv. checks suggest our projections may prove conservative.
- **Google Cloud Revenue: +36% Y/Y**—compares to consensus of +35% Y/Y on continued Gemini and AI demand trends and given our view that Cloud backlog momentum continued into 4Q (we project backlog +77% Y/Y vs. +82% Y/Y in 3Q), revenue growth could accelerate at a faster rate.
- **GAAP Operating Income & EPS:** We project 4Q OI of \$38.1 billion (34.0% margin, +190bps Y/Y), above consensus of \$36.8 billion, led by Google Services operating margin of 49.3% (+190 bps Y/Y) and Google Cloud at 23.9% (+640 bps Y/Y). On GAAP EPS, we project \$2.65 vs. consensus of \$2.64.
- **4Q Capex: We project \$28.8 billion (+101% Y/Y)**—this compares to consensus of \$24.9B, and we'll be listening for more details on '26 CapEx (which we project to be \$129B vs. consensus of \$114B).

Figure 1. GOOGL Key Metrics for 4Q25: Search, YT, Cloud, OI, GAAP EPS, and CapEx

4Q25 Metric	Citi	Consensus	Guidance	Bearish	Bullish
Google Search Revenue (\$M)	\$61,869	\$61,426	N/A	<\$61,058	\$62,409+
Y/Y growth %	14.5%	13.7%	N/A	<12.0%	15.5%+
YouTube Ads Revenue (\$M)	\$11,887	\$11,837	N/A	<\$11,782	\$11,939+
Y/Y growth %	13.5%	13.0%	N/A	<12.5%	14.0%+
Google Properties Revenue (\$M)	\$73,756	\$73,262	N/A	<\$72,841	\$74,348+
Y/Y growth %	14.3%	13.6%	N/A	<12.9%	15.3%+
Cloud Revenue (\$M)	\$16,259	\$16,138	N/A	<\$16,020	\$16,498+
Y/Y growth %	36.0%	35.0%	N/A	<34.0%	38.0%+
Operating Income (\$M)	\$38,060	\$36,773	N/A	<\$35,579	\$38,915+
Operating Income Margin %	34.0%	33.1%	N/A	<32.0%	35.0%+
Capital Expenditures (\$M)	\$28,761	\$24,896	\$27,404-\$29,404	\$29,500+	<\$28,000
Y/Y growth %	101.5%	74.4%	92.0%-106.0%	106.6%+	<96.1%
GAAP EPS	\$2.65	\$2.64	N/A	<\$2.60	\$2.70+
Y/Y growth %	23.4%	22.8%	N/A	<20.9%	25.6%+

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Source: Citi Research, FactSet, Company Reports

Updating our Search and YouTube Projections:

Given improving online advertising trends throughout 4Q amid what we believe was a healthy holiday shopping season, we are raising our Search and YouTube projections for 4Q and beyond. For 4Q, we now project Search & Other revenue growth of +14.5% Y/Y (from +12.5% Y/Y) and with YouTube Ads revenue growth to +13.5% Y/Y (from +12.5% Y/Y), resulting in total revenues revised +1% from our prior projections. Given the high-margin nature of Search and YT revenue, our OI increases by +1% as well (see Figure 2).

Figure 2. GOOGL Old vs. New Projections

	4Q25E		2025E		1Q26E		2Q26E		3Q26E		4Q26E		2026E		2027E		2028E	
	Old	New	Old	New	Old	New	Old	New	Old	New	Old	New	Old	New	Old	New	Old	New
Total Revenue	\$110,789.2	\$111,874.6	\$399,797.2	\$400,862.0	\$103,221.6	\$104,116.0	\$110,227.6	\$111,136.4	\$116,247.4	\$117,166.5	\$125,170.3	\$127,147.5	\$454,866.8	\$458,600.4	\$513,355.3	\$521,248.1	\$576,763.8	\$580,357.5
Y/Y growth	14.8%	16.1%	14.2%	14.6%	14.4%	15.4%	14.3%	15.3%	13.6%	14.5%	13.0%	13.6%	13.8%	14.6%	12.9%	13.4%	12.7%	13.3%
Q/Q growth	8.2%	9.4%	-	-	-6.8%	-7.0%	6.8%	6.7%	5.5%	5.5%	7.7%	8.5%	-	-	-	-	-	-
% change to estimate	1.1%	1.1%	0.3%	0.3%	0.9%	0.9%	0.8%	0.8%	0.8%	0.8%	1.6%	1.6%	1.0%	1.0%	1.5%	1.5%	2.0%	2.0%
Net Revenue	\$94,872.5	\$95,889.9	\$340,551.5	\$341,548.9	\$88,427.8	\$89,188.9	\$94,824.8	\$95,389.9	\$100,434.8	\$101,236.6	\$108,275.8	\$109,935.9	\$381,762.8	\$385,751.2	\$446,644.0	\$453,279.5	\$508,041.7	\$517,754.1
Y/Y growth	16.2%	17.5%	15.4%	15.7%	15.6%	16.6%	15.8%	16.7%	14.8%	15.7%	14.1%	14.7%	15.0%	15.9%	14.0%	14.5%	13.7%	14.2%
Q/Q growth	8.5%	9.6%	-	-	-6.5%	-6.5%	-12.6%	-13.2%	-7.5%	-7.7%	-8.1%	-8.1%	-	-	-	-	-	-
% change to estimate	1.1%	1.1%	0.3%	0.3%	0.9%	0.9%	0.8%	0.8%	0.8%	0.8%	1.5%	1.5%	1.0%	1.0%	1.5%	1.5%	1.9%	1.9%
Operating Income	\$37,664.4	\$38,080.3	\$130,789.4	\$131,165.3	\$36,078.4	\$36,389.1	\$38,796.1	\$39,109.9	\$40,877.0	\$41,203.3	\$44,284.8	\$44,963.8	\$160,036.3	\$161,866.0	\$188,483.8	\$191,283.9	\$220,490.1	\$224,705.3
Y/Y growth	21.6%	22.9%	16.4%	16.7%	17.9%	18.9%	24.1%	25.1%	30.9%	31.9%	17.6%	18.1%	22.4%	23.3%	17.8%	18.3%	17.0%	17.5%
Operating Margin on Gross Revenue	34.0%	34.0%	32.7%	32.7%	35.0%	35.0%	35.2%	35.2%	35.2%	35.2%	35.4%	35.4%	35.2%	35.2%	36.7%	36.7%	38.1%	38.1%
% change to estimate	1.1%	1.1%	0.3%	0.3%	0.9%	0.9%	0.8%	0.8%	0.8%	0.8%	1.5%	1.5%	1.0%	1.0%	1.5%	1.5%	1.9%	1.9%
EBITDA	\$50,131.2	\$50,590.0	\$181,046.2	\$181,505.0	\$49,287.4	\$49,657.3	\$53,241.3	\$53,621.6	\$56,871.8	\$57,276.5	\$60,874.9	\$61,683.2	\$220,275.3	\$222,238.5	\$266,852.7	\$270,291.8	\$320,080.5	\$325,423.4
Y/Y growth	22.3%	23.4%	19.3%	19.6%	21.4%	22.3%	22.0%	22.9%	21.9%	22.7%	21.4%	21.9%	21.7%	22.4%	21.1%	21.6%	19.9%	20.4%
Margin	52.8%	52.8%	53.2%	53.1%	55.7%	55.7%	56.3%	56.2%	56.6%	56.6%	56.2%	56.1%	56.2%	56.2%	59.7%	59.6%	63.0%	62.9%
% change to estimate	0.9%	0.9%	0.3%	0.3%	0.8%	0.8%	0.7%	0.7%	0.7%	0.7%	1.3%	1.3%	0.9%	0.9%	1.3%	1.3%	1.7%	1.7%
GAAP EPS	\$2.62	\$2.65	\$10.81	\$10.84	\$2.51	\$2.53	\$2.70	\$2.72	\$2.84	\$2.87	\$3.08	\$3.12	\$11.13	\$11.24	\$13.03	\$13.22	\$15.15	\$15.43
Y/Y growth	22.1%	23.4%	31.9%	32.3%	-10.6%	-9.8%	16.7%	17.7%	-0.8%	0.0%	17.3%	17.9%	4.9%	5.7%	17.1%	17.6%	16.2%	16.7%
NI Margin	33.7%	33.7%	38.1%	38.1%	34.7%	34.7%	34.8%	34.8%	34.6%	34.6%	34.7%	34.7%	34.7%	34.7%	36.0%	36.0%	37.1%	37.1%
% change to estimate	1.0%	1.0%	0.3%	0.3%	0.9%	0.9%	0.8%	0.8%	0.8%	0.8%	1.5%	1.5%	1.0%	1.0%	1.5%	1.5%	1.9%	1.9%

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Source: Citi Research, Company Reports

At \$328.38, shares of GOOGL shares currently trade at ~24x our '27E GAAP EPS of \$13.22. Our \$350 target price is based on ~27x our GAAP EPS of \$13.22 for 2027E. While a premium to the market and to Google's historical multiple range, given Google Cloud revenue growth is reaccelerating on TPU and Gemini demand as and query volume strength continues, we believe shares warrant a premium to the market and to Alphabet's historical multiple. We reiterate our Buy rating on shares given our view that Google's product halo can lead to continued Search usage, and we are impressed with Gemini 3 and Google's newer AI models.

Figure 3. GOOGL 4Q25 Earnings Preview

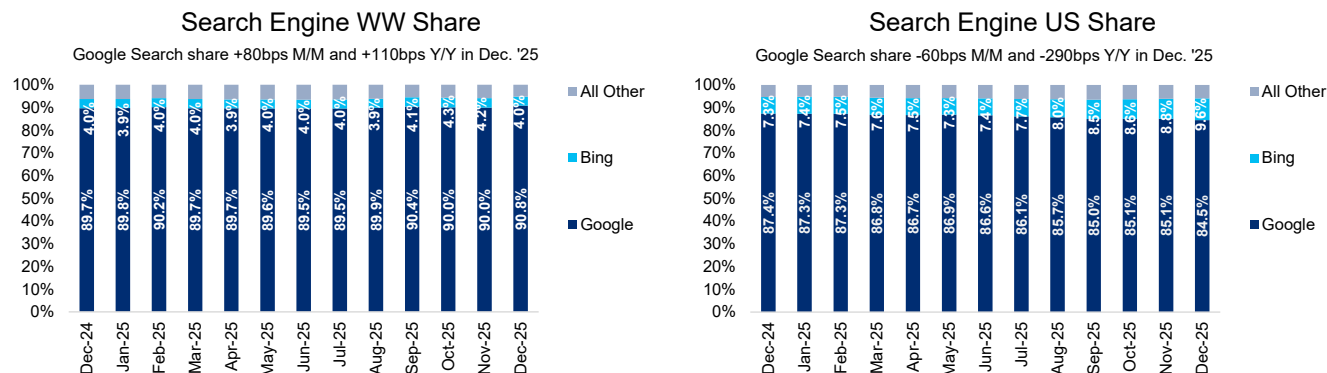
<i>in millions, except per share amounts</i>	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E
Total Revenue	111,975	400,983	104,071	111,138	117,198	127,147	459,556	521,199	590,303
Y/Y growth	16.1%	14.6%	15.3%	15.3%	14.5%	13.6%	14.6%	13.4%	13.3%
Q/Q growth	9.4%		-7.1%	6.8%	5.5%	8.5%			
Consolidated Operating Income	38,060	131,165	36,371	39,110	41,203	44,964	161,648	191,263	224,682
Operating Margin	34.0%	32.7%	34.9%	35.2%	35.2%	35.4%	35.2%	36.7%	38.1%
GAAP EPS	\$2.65	\$10.64	\$2.53	\$2.72	\$2.87	\$3.12	\$11.24	\$13.22	\$15.43
Y/Y growth	23.4%	32.3%	-9.9%	17.7%	0.0%	17.9%	5.7%	17.6%	16.2%
SEGMENT REVENUE									
Google Search	61,869	223,328	57,547	60,964	63,072	68,365	249,948	274,943	301,062
Y/Y growth	14.5%	12.7%	13.5%	12.5%	11.5%	10.5%	11.9%	10.0%	9.5%
YouTube Ads	11,887	40,871	10,132	10,972	11,390	13,194	45,688	50,485	55,534
Y/Y growth	13.5%	13.1%	13.5%	12.0%	11.0%	11.0%	11.8%	10.5%	10.0%
Google Properties	73,756	264,199	67,679	71,935	74,462	81,560	295,636	325,428	356,596
Y/Y growth	14.3%	12.8%	13.5%	12.4%	11.4%	10.6%	11.9%	10.1%	9.6%
Google Network Websites	7,795	29,759	7,038	7,060	7,097	7,561	28,756	28,181	27,758
Y/Y growth	-2.0%	-2.0%	-3.0%	-4.0%	-3.5%	-3.0%	-3.4%	-2.0%	-1.5%
Total Advertising Revenues	81,551	293,958	74,717	78,995	81,559	89,121	324,392	353,608	384,354
Y/Y growth	12.5%	11.1%	11.7%	10.7%	9.9%	9.3%	10.4%	9.0%	8.7%
Google Subscriptions, Platforms, and Devices	13,785	48,237	11,936	12,659	14,350	15,508	54,454	60,171	65,587
Y/Y growth	18.5%	19.6%	15.0%	13.0%	11.5%	12.5%	12.9%	10.5%	9.0%
Total Google Services Revenues	95,336	342,195	86,653	91,655	95,909	104,629	378,845	413,780	449,940
Y/Y growth	13.4%	12.2%	12.2%	11.0%	10.2%	9.7%	10.7%	9.2%	8.7%
Google Cloud Revenue	16,259	57,300	16,919	19,074	20,917	22,112	79,021	105,493	138,196
Y/Y growth	36.0%	32.5%	38.0%	40.0%	38.0%	36.0%	37.9%	33.5%	31.0%
Total Google Revenues	111,595	400,983	103,572	110,728	116,825	126,741	459,556	521,199	590,303
Y/Y growth	16.2%	14.6%	15.7%	15.1%	14.3%	13.6%	14.6%	13.4%	13.3%
Other Bets Revenue	380	1,547	500	410	373	407	1,690	1,926	2,167
Y/Y growth	-5.0%	-6.1%	11.0%	10.0%	8.5%	7.0%	9.2%	14.0%	12.5%
SEGMENT SUMMARY									
Total Google Services Revenues	95,336	342,195	86,653	91,655	95,909	104,629	378,845	413,780	449,940
Y/Y growth	13.4%	12.2%	12.2%	11.0%	10.2%	9.7%	10.7%	9.2%	8.7%
Google Services GAAP Operating Income	39,088	138,360	37,261	38,770	41,241	44,467	161,739	178,753	197,974
Y/Y growth	19.0%	14.1%	14.0%	17.3%	23.0%	13.8%	16.9%	10.5%	10.8%
Google Services margin (on Gross Revenue)	41.0%	40.4%	43.0%	42.3%	43.0%	42.5%	42.7%	43.2%	44.0%
Google Cloud Revenue	16,259	57,300	16,919	19,074	20,917	22,112	79,021	105,493	138,196
Y/Y growth	36.0%	32.5%	38.0%	40.0%	38.0%	36.0%	37.9%	33.5%	31.0%
Google Cloud GAAP Operating Income	3,886	12,483	4,145	4,768	5,334	5,749	19,996	27,956	38,004
Y/Y growth	85.7%	104.2%	90.4%	68.7%	48.4%	47.9%	60.2%	39.8%	35.9%
Google Cloud Margin	23.9%	21.8%	24.5%	25.0%	25.5%	26.0%	25.3%	26.5%	27.5%
Other Bets Revenue	380	1,547	500	410	373	407	1,690	1,926	2,167
Y/Y growth	-5.0%	-6.1%	11.0%	10.0%	8.5%	7.0%	9.2%	14.0%	12.5%
Other Bets GAAP Operating Income	-1,520	-5,418	-1,374	-1,128	-970	-854	-4,326	-2,215	-1,950
Y/Y growth	29.5%	21.9%	12.0%	-9.4%	-31.9%	-43.8%	-20.2%	-48.8%	-12.0%
Other Bets Margin	-400.0%	-350.2%	-275.0%	-275.0%	-260.0%	-210.0%	-256.0%	-115.0%	-90.0%
CONSENSUS									
Total Revenue (Consensus)	\$111,186	\$400,207	\$103,709	\$110,338	\$116,219	\$126,078	\$456,933	\$516,248	\$583,105
Y/Y growth %	15.3%	14.3%	14.9%	14.4%	13.6%	13.4%	14.2%	13.0%	13.0%
Q/Q growth %	8.6%		-6.7%	6.4%	5.3%	8.5%			
GAAP Operating Income (Consensus)	\$36,773	\$130,468	\$35,080	\$37,265	\$39,078	\$42,568	\$153,551	\$178,616	\$204,405
% Margin	33.1%	32.6%	33.8%	33.8%	33.6%	33.8%	33.6%	34.6%	35.1%
GAAP EPS (Consensus)	\$2.64	\$10.63	\$2.54	\$2.71	\$2.83	\$3.09	\$11.26	\$13.04	\$14.76
Y/Y growth %	22.8%	32.2%	-9.5%	17.2%	-1.4%	16.9%	5.9%	15.7%	13.2%
Adjusted EBITDA (Consensus)	\$49,690	\$177,353	\$48,404	\$51,749	\$54,713	\$58,809	\$213,467	\$250,152	\$292,557
% Margin	44.7%	44.3%	46.7%	46.9%	47.1%	46.6%	46.7%	48.5%	50.2%

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Source: Citi Research, FactSet, Company Reports

Appendix

Figure 4. Search Share: Global Google Search Share +80bps M/M to 90.8% vs. US Search Share -60bps M/M to 84.5%

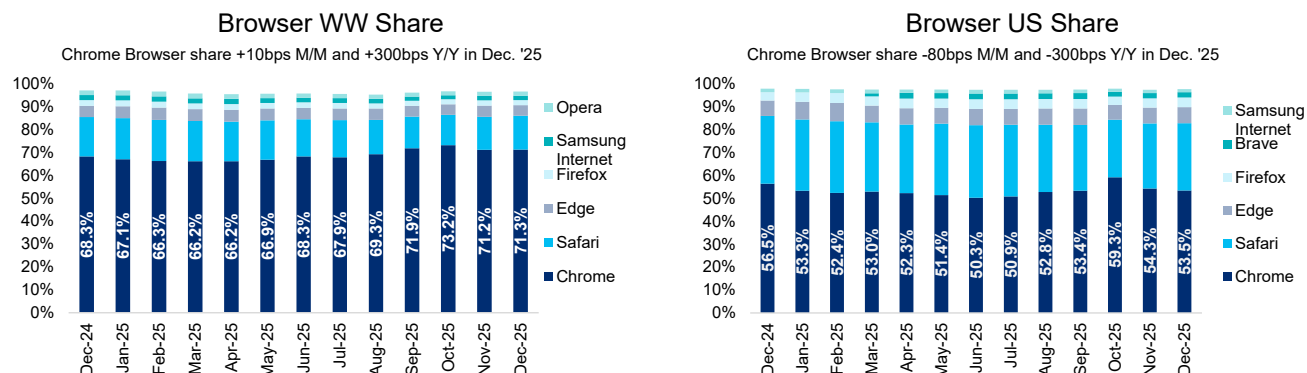


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Source: Citi Research, Statcounter

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Figure 5. Browser Share: Global Chrome Share +10bps M/M to 71.9% vs. US Chrome Share -80bps M/M to 53.5%

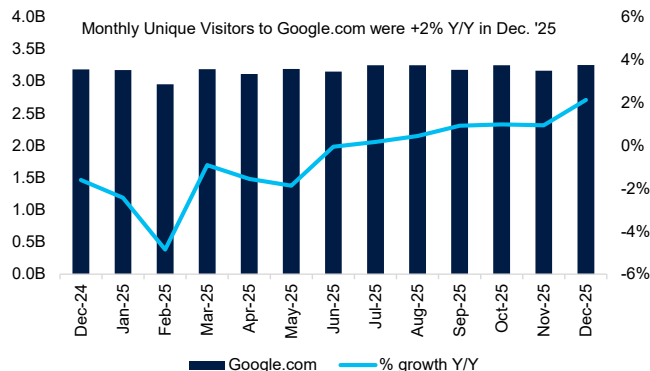


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Source: Citi Research, Statcounter

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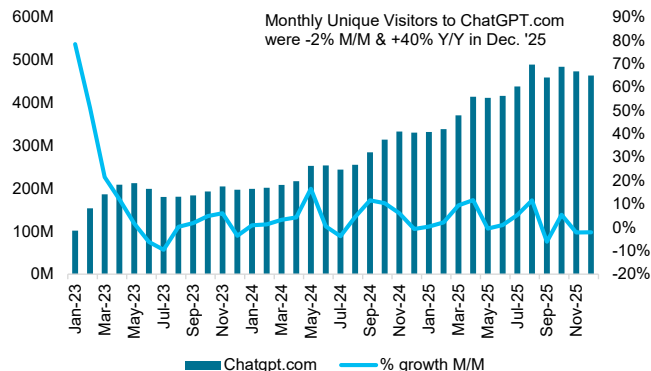
Figure 6. Google.com – Monthly UVs +2% Y/Y in Dec.



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Source: Citi Research, SimilarWeb

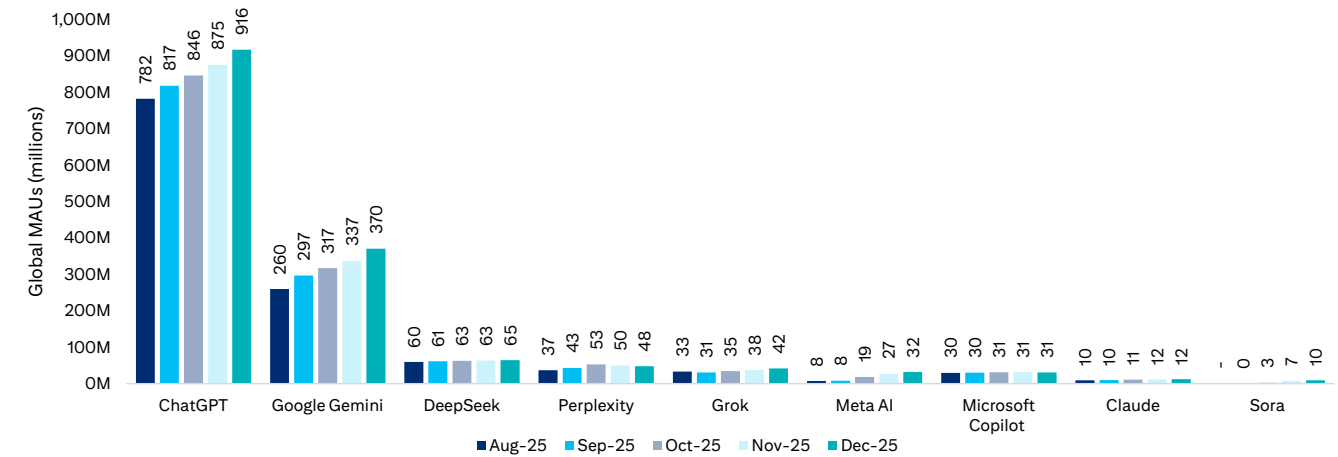
Figure 7. ChatGPT.com – Monthly UVs -2% M/M in Dec.



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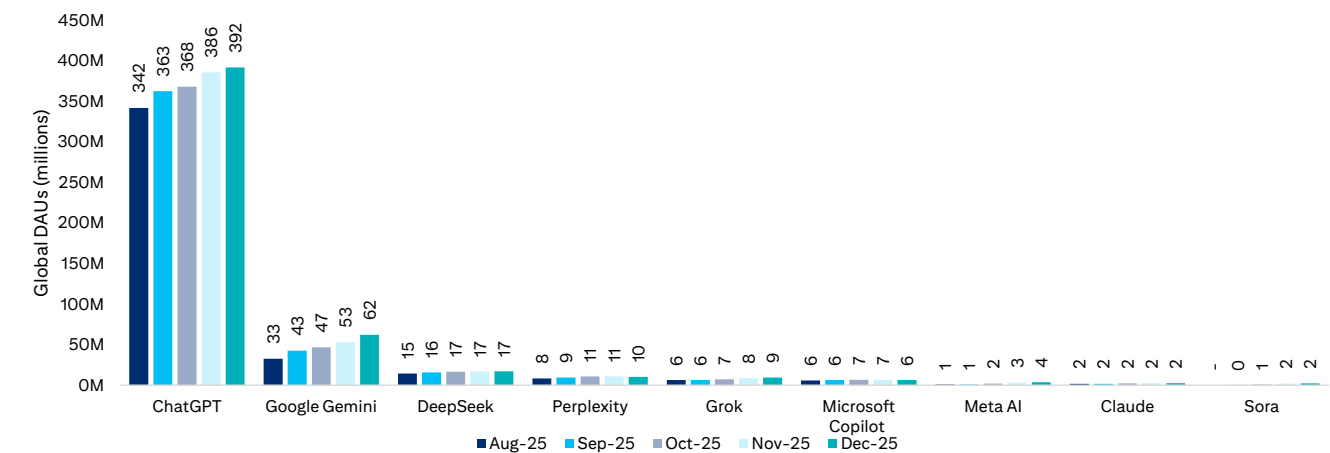
Source: Citi Research, SimilarWeb

Figure 8. Generative AI: Global App MAUs: Highlights Continued Strength at ChatGPT & Gemini



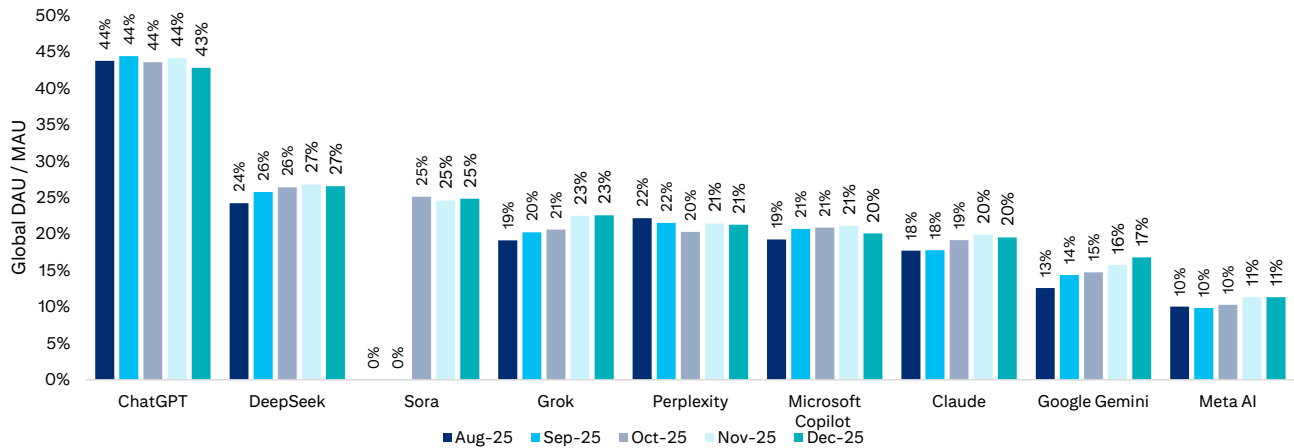
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Source: Citi Research, SensorTower

Figure 9. Generative AI: Global App DAUs: Highlights Greater Daily Usage at ChatGPT vs Other GenAI Apps



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Source: Citi Research, SensorTower

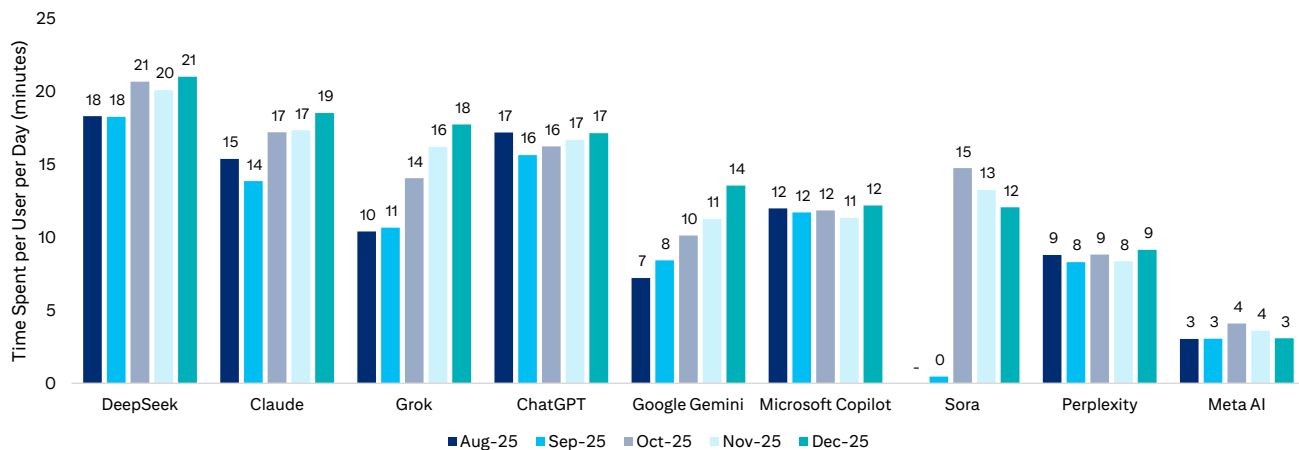
Figure 10. Generative AI: Global App DAU / MAU



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Source: Citi Research, SensorTower

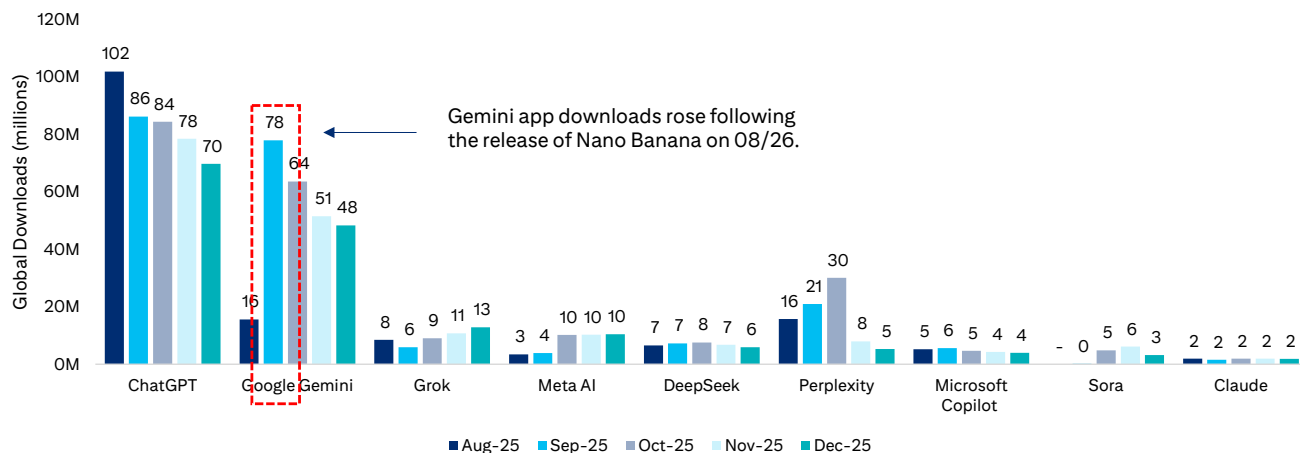
Figure 11. Generative AI: Global App Time Spent (Minutes) per DAU



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Source: Citi Research, SensorTower

Figure 12. Generative AI: Global App Downloads



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Source: Citi Research, SensorTower

Figure 13. Google's \$140B+ of Infra Investments Announced since May '25

Announced	Region	Value (\$B)	Investment
5/30/2025	Iowa	7.0	Cloud and AI infra
7/15/2025	PJM region (PA, NJ, MD)	25.0	New AI infra
7/15/2025	Pennsylvania	3.0	Modernize hydropower facilities
8/13/2025	Oklahoma	9.0	Technical infra and skills development
8/27/2025	Virginia	9.0	Data center
9/16/2025	United Kingdom	6.8	Data center
10/8/2025	Belgium	5.8	Data center
10/8/2025	Arkansas	4.0	Data center
10/14/2025	Visakhapatnam (India)	15.0	New Int'l subsea gateway & GW-scale compute
10/14/2025	South Carolina	9.0	Data center
11/11/2025	Germany	6.4	Data center
11/14/2025	Texas	40.0	Data center
		140.0	

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Source: Citi Research, Company Reports

Figure 14. GOOGL Income Statement, \$ in millions except per share amounts (2024A-2028E)

	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E
Total Google Services Revenue	304,930.0	77,264.0	82,543.0	87,052.0	95,335.8	342,194.8	86,697.7	91,654.5	95,908.6	104,628.9	378,889.7	413,828.9	449,994.6
Google Cloud	43,229.0	12,260.0	13,624.0	15,157.0	16,258.8	57,299.8	16,918.8	19,073.6	20,916.7	22,112.0	79,021.0	105,493.1	138,195.9
Other Bets	1,648.0	450.0	373.0	344.0	380.0	1,547.0	499.5	410.3	373.2	406.6	1,689.6	1,926.2	2,167.0
Hedging gains (losses)	211.0	260.0	-112.0	-207.0	-	(59.00)	-	-	-	-	-	-	-
Gross Revenues	350,018.0	90,234.0	96,428.0	102,346.0	111,974.6	400,982.6	104,116.0	111,138.4	117,198.5	127,147.5	459,600.4	521,248.1	590,357.5
Less: Traffic Acquisition Costs (TAC)	54,900.0	13,748.0	14,705.0	14,876.0	16,104.7	59,433.7	14,927.1	15,748.5	15,961.9	17,211.6	63,849.1	67,968.7	72,603.3
Net Revenues	295,118.0	76,486.0	81,723.0	87,470.0	95,869.9	341,548.9	89,188.9	95,389.9	101,236.6	109,935.9	395,751.2	453,279.5	517,754.1
Less: Cost of revenue (ex. TAC)	91,253.0	22,613.0	24,334.0	26,493.0	30,007.3	103,447.3	26,221.5	28,235.4	30,371.0	34,080.1	118,908.0	134,624.0	152,219.7
Gross Profit	203,865.0	53,873.0	57,389.0	60,977.0	65,862.6	238,101.6	62,967.4	67,154.5	70,865.6	75,855.7	276,843.2	318,655.5	365,534.4
Operating Expenses													
Research & Development	49,079.0	13,556.0	13,808.0	15,151.0	15,914.4	58,429.4	16,232.4	16,502.5	17,716.4	18,249.4	68,700.6	78,417.4	89,053.7
Sales and marketing	27,591.0	6,172.0	7,101.0	7,205.0	7,669.6	28,147.6	6,600.0	7,631.2	7,795.2	8,245.2	30,271.6	32,182.8	34,171.8
General & Administrative	13,482.0	3,539.0	3,834.0	3,936.0	4,218.3	15,527.3	3,745.9	3,911.0	4,150.7	4,397.4	16,205.1	16,771.3	17,603.6
1x items (including DoJ/EU fines)	1,323.0	-	1,375.0	3,457.0	-	4,832.0	-	-	-	-	-	-	-
Total operating expenses	91,475.0	23,267.0	26,118.0	29,749.0	27,802.3	106,936.3	26,578.3	28,044.6	29,662.3	30,892.0	115,177.2	127,371.5	140,829.1
GAAP Operating Income	112,390.0	30,808.0	31,271.0	31,228.0	38,060.3	131,165.3	36,389.1	39,109.9	41,203.3	44,963.8	161,666.0	191,283.9	224,705.3
PF Operating Income	113,713.0	30,608.0	32,646.0	34,685.0	38,060.3	135,997.3	36,389.1	39,109.9	41,203.3	44,963.8	161,666.0	191,283.9	224,705.3
Other income (expense)	7,425.0	3,183.0	2,662.0	12,759.0	456.4	19,060.4	431.8	413.1	448.7	448.4	1,741.9	2,795.6	4,096.6
1x items	-	8,000.0	-	-	-	8,000.0	-	-	-	-	-	-	-
Income before taxes	119,815.0	41,789.0	33,933.0	43,987.0	38,516.7	158,225.7	36,820.8	39,522.9	41,651.9	45,412.1	163,407.9	194,079.5	228,801.9
Provision for taxes	19,697.0	7,249.0	5,737.0	9,008.0	6,162.7	28,156.7	5,891.3	6,323.7	6,664.3	7,265.9	26,145.3	31,052.7	36,608.3
Effective tax rate	16.4%	17.3%	16.9%	20.5%	16.0%	17.8%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%
Loss on discontinued operations and other, net of tax	-	-	-	-	-	-	-	-	-	-	-	-	-
GAAP Net Income	100,118.0	34,540.0	28,196.0	34,979.0	32,354.1	130,069.1	30,929.5	33,199.3	34,987.6	38,146.2	137,262.6	163,028.8	192,193.6
GAAP Net Income per share – Basic	\$8.13	\$2.84	\$2.33	\$2.89	\$2.68	\$10.73	\$2.56	\$2.75	\$2.89	\$3.15	\$11.35	\$13.35	\$15.58
GAAP Net Income per share – Diluted	\$8.04	\$2.81	\$2.31	\$2.87	\$2.65	\$10.64	\$2.53	\$2.72	\$2.87	\$3.12	\$11.24	\$13.22	\$15.43
Basic shares outstanding (M)	12,319	12,183	12,122	12,086	12,087	12,120	12,088	12,090	12,091	12,092	12,090	12,211	12,333
Diluted shares outstanding (M)	12,447	12,291	12,198	12,203	12,204	12,224	12,205	12,207	12,208	12,209	12,207	12,329	12,453
Non-recurring items:													
Stock Compensation expense	22,785.0	5,516.0	5,998.0	6,368.0	6,039.8	23,921.8	5,886.5	6,200.3	6,782.9	6,376.3	25,245.9	28,103.3	31,065.2
1x items	1,323.0	(8,000)	1,375.0	3,457.0	-	(3,168)	-	-	-	-	-	-	-
Tax Effect	3,948.2	-430.9	1,246.5	2,012.0	966.4	3,794.1	941.8	992.1	1,085.3	1,020.2	4,039.4	4,496.5	4,970.4
Non-GAAP Net Income	120,277.8	32,486.9	34,322.5	42,792.0	37,427.5	147,028.8	35,874.1	38,407.6	40,685.2	43,502.3	158,469.2	186,633.6	218,288.4
Non-GAAP Diluted Income per share	\$9.66	\$2.64	\$2.81	\$3.51	\$3.07	\$12.03	\$2.94	\$3.15	\$3.33	\$3.58	\$12.98	\$15.14	\$17.53
EBITDA Reconciliation													
Operating Income	112,390.0	30,606.0	31,271.0	31,228.0	38,060.3	131,165.3	36,389.1	39,109.9	41,203.3	44,963.8	161,666.0	191,283.9	224,705.3
Depreciation and amortization expense	15,311.0	4,487.0	4,998.0	5,611.0	6,489.8	21,585.8	7,381.7	8,311.4	9,290.3	10,343.1	35,326.5	50,904.5	69,652.8
Stock-based compensation	22,785.0	5,516.0	5,998.0	6,368.0	6,039.8	23,921.8	5,886.5	6,200.3	6,782.9	6,376.3	25,245.9	28,103.3	31,065.2
1x items	1,323.0	-	1,375.0	3,457.0	-	4,832.0	-	-	-	-	-	-	-
Adjusted EBITDA	151,809.0	40,609.0	43,642.0	46,664.0	50,590.0	181,505.0	49,657.3	53,621.6	57,276.5	61,683.2	222,238.5	270,291.8	325,423.4
Y/Y % Change													
Total Google Services Revenue	11.9%	9.8%	11.7%	13.8%	13.4%	12.2%	12.2%	11.0%	10.2%	9.7%	10.7%	9.2%	8.7%
Google Cloud	30.6%	28.1%	31.7%	33.5%	36.0%	32.5%	38.0%	40.0%	38.0%	36.0%	37.9%	33.5%	31.0%
Other Bets	7.9%	-9.1%	2.2%	-11.3%	-5.0%	-6.1%	11.0%	10.0%	8.5%	7.0%	9.2%	14.0%	12.5%
Hedging gains (losses)	-10.6%	261.1%	-209.8%	N/A	N/A	-128.0%	N/A	N/A	N/A	N/A	-100.0%	N/A	N/A
Gross Revenues	13.9%	12.0%	13.8%	15.9%	16.1%	14.6%	15.4%	15.3%	14.5%	13.6%	14.6%	13.4%	13.3%
Traffic Acquisition Costs (TAC)	7.9%	6.2%	9.8%	8.4%	8.5%	8.3%	8.6%	7.1%	7.3%	6.9%	7.4%	6.5%	6.8%
Net Revenues	15.1%	13.2%	14.5%	17.3%	17.5%	15.7%	16.6%	16.7%	15.7%	14.7%	15.9%	14.5%	14.2%
Cost of revenue	12.0%	9.7%	10.0%	16.4%	16.5%	13.4%	16.0%	16.0%	14.6%	13.6%	14.9%	13.2%	13.1%
Gross Profit	16.5%	14.7%	16.6%	17.7%	17.9%	16.8%	16.9%	17.0%	16.2%	15.2%	16.3%	15.1%	14.7%
Research & Development	12.3%	16.3%	16.4%	21.7%	21.3%	19.1%	19.7%	19.5%	16.9%	14.7%	17.6%	14.1%	13.6%
Sales and marketing	1.6%	-0.6%	4.5%	-0.3%	4.2%	2.0%	6.9%	7.5%	8.2%	7.5%	7.5%	6.3%	6.2%
General & Administrative	-13.9%	20.9%	21.4%	31.6%	-4.2%	15.2%	5.8%	2.0%	5.5%	4.2%	4.4%	3.5%	5.0%
GAAP Operating Expenses	0.8%	8.2%	19.8%	27.8%	11.7%	16.9%	14.2%	7.4%	-0.3%	11.1%	7.7%	10.6%	10.6%
PF Operating Expenses	4.2%	11.9%	13.4%	16.0%	11.7%	13.3%	14.2%	13.3%	12.8%	11.1%	12.8%	10.6%	10.6%
GAAP Operating Income	33.3%	20.2%	14.0%	9.5%	22.9%	16.7%	18.9%	25.1%	31.9%	18.1%	23.3%	18.3%	17.5%
PF Operating Income	28.5%	16.9%	19.0%	19.1%	22.9%	19.6%	18.9%	19.8%	18.8%	18.1%	18.9%	18.3%	17.5%
Adjusted EBITDA	21.8%	16.5%	18.0%	19.8%	23.4%	19.6%	22.3%	22.9%	22.7%	21.9%	22.4%	21.6%	20.4%
GAAP EPS	38.7%	48.8%	22.3%	35.3%	23.4%	32.3%	-9.8%	17.7%	0.0%	17.9%	5.7%	17.6%	16.7%
% of Net Revenue													
Cost of revenues (non-TAC)	30.9%	29.6%	29.8%	30.3%	31.3%	30.3%	29.4%	29.6%	30.0%	31.0%	30.0%	29.7%	29.4%
Research & Development	16.6%	17.1%	16.9%	17.3%	16.6%	17.1%	18.2%	17.3%	17.5%	16.6%	17.4%	17.3%	17.2%
Sales and marketing	9.3%	8.1%	8.7%	8.2%	8.0%	8.2%	7.4%	8.0%	7.7%	7.5%	7.6%	7.1%	6.6%
General & Administrative	4.6%	4.6%	4.7%	4.5%	4.4%	4.5%	4.2%	4.1%	4.1%	4.0%	4.1%	3.7%	3.4%
Stock-based compensation expenses	7.7%	7.2%	7.3%	7.3%	6.3%	7.0%	6.6%	6.5%	6.7%	5.8%	6.4%	6.2%	6.0%
Margins as a % of net revenues													
Gross margin	69.1%	70.4%	70.2%	69.7%	68.7%	69.7%	70.6%	70.4%	70.0%	69.0%	70.0%	70.3%	70.8%
GAAP Operating margin	38.1%	40.0%	38.3%	35.7%	39.7%	38.4%	40.8%	41.0%	40.7%	40.9%	40.9%	42.2%	43.4%
PF Operating margin	38.5%	40.0%	39.9%	39.7%	39.7%	39.8%	40.8%	41.0%	40.7%	40.9%	40.9%	42.2%	43.4%
Net Income margin	33.9%	45.2%	34.5%	40.0%	33.7%	38.1%	34.7%	34.8%	34.6%	34.7%	34.7%	36.0%	37.1%
Adjusted EBITDA margin	51.4%	53.1%	53.4%	53.3%	52.8%	53.1%	55.7%	56.2%	56.6%	56.1%	56.2%	59.6%	62.9%
Margins as a % of gross revenues													
Gross margin	58.2%	59.7%	59.5%	59.6%	58.8%	59.4%	60.5%	60.4%	60.5%	59.7%	60.2%	61.1%	61.9%
GAAP Operating margin	32.1%	33.9%	32.4%	30.5%	34.0%	32.7%	35.0%	35.2%	35.2%	35.4%	35.2%	36.7%	38.1%
PF Operating margin	32.5%	33.9%	33.9%	33.9%	34.0%	33.9%	35.0%	<					

Figure 15. GOOGL Revenue Analysis, \$ in millions (2024A-2028E)

	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E
REVENUE ANALYSIS													
Google Search and Other	198,084.0	50,702.0	54,190.0	56,567.0	61,868.0	223,327.9	57,546.8	60,963.8	63,072.2	68,365.2	249,947.9	274,942.7	301,062.2
Y/Y growth	13.2%	9.8%	11.7%	14.5%	14.5%	12.7%	13.5%	12.5%	11.5%	10.5%	11.9%	10.0%	9.5%
Y/Y growth ex-FX	14.1%	11.6%	11.3%	13.3%	9.4%		-7.0%	5.9%	3.5%	8.4%			
Q/Q growth		-6.2%	6.9%	4.4%									
YouTube Ads	36,147.0	8,927.0	9,795.0	10,261.0	11,886.9	40,870.9	10,176.8	10,971.5	11,389.7	13,194.4	45,732.4	50,534.3	55,587.8
Y/Y growth	14.7%	10.3%	13.1%	15.0%	13.5%	13.1%	14.0%	12.0%	11.0%	11.0%	11.9%	10.5%	10.0%
Q/Q growth		-14.8%	9.7%	4.7%	15.8%		-14.4%	7.8%	3.8%	15.8%			
Google Properties	234,231.0	69,620.0	63,966.0	66,828.0	73,755.8	264,196.8	67,723.6	71,935.3	74,461.9	81,569.6	295,680.3	325,477.0	356,050.0
Y/Y growth	13.4%	9.9%	11.9%	14.6%	14.3%	12.8%	13.6%	12.4%	11.4%	10.6%	11.9%	10.1%	9.6%
Q/Q growth		-7.6%	7.7%	3.4%	10.4%		-8.2%	6.2%	3.5%	9.5%			
Google Network Websites	30,359.0	7,256.0	7,354.0	7,354.0	7,794.9	29,758.9	7,038.3	7,059.8	7,096.6	7,561.1	28,755.8	28,180.7	27,758.0
Y/Y growth	-3.0%	-2.1%	-1.2%	-2.6%	-2.0%		-3.0%	-4.0%	-3.5%	-3.0%		-2.0%	-1.5%
Q/Q growth		-8.8%	1.4%	0.0%	6.0%		-9.7%	0.3%	0.5%	6.5%			
Total Advertising Revenues	284,580.0	66,885.0	71,340.0	74,182.0	81,550.7	293,957.7	74,761.9	78,965.1	81,558.5	89,120.6	324,436.2	353,657.7	384,408.0
Y/Y growth	11.2%	8.5%	10.4%	12.6%	12.5%	11.1%	11.8%	10.7%	9.9%	9.3%	10.4%	9.0%	8.7%
Q/Q growth		-7.7%	6.7%	4.0%	9.9%		-8.3%	5.7%	3.2%	9.3%			
Google Subscriptions, Platforms, and Devices	40,340.0	10,370.0	11,203.0	12,870.0	13,785.1	48,237.1	11,935.9	12,659.4	14,360.1	15,508.2	54,453.5	60,171.2	65,596.6
Y/Y growth	16.3%	18.6%	20.3%	20.8%	18.5%	19.6%	15.0%	13.0%	11.5%	12.5%	12.9%	10.5%	9.0%
Q/Q growth		-10.8%	7.9%	14.9%	7.1%		-13.4%	6.1%	13.4%	8.1%			
Total Google Services Revenues	304,930.0	77,264.0	82,543.0	87,052.0	95,335.8	342,194.8	86,697.7	91,654.5	95,906.6	104,628.9	378,886.7	413,828.9	449,994.6
Y/Y growth	11.9%	9.8%	11.7%	13.8%	13.4%	12.2%	12.2%	11.0%	10.2%	9.7%	10.7%	9.2%	8.7%
Q/Q growth		-8.1%	6.8%	5.5%	9.5%		-9.1%	5.7%	4.6%	9.1%			
Google Cloud	43,229.0	12,290.0	13,624.0	15,157.0	16,258.8	57,299.8	16,919.8	18,073.6	20,916.7	22,112.0	79,021.0	105,493.1	138,195.9
Incremental Google Cloud Revenues (Y/Y)	10,141.0	2,686.0	3,277.0	3,870.0	4,303.8	14,070.8	4,658.8	5,449.8	5,757.7	5,853.2	21,721.2	26,472.0	32,702.9
Incremental Google Cloud Revenues (Q/Q)		305.0	1,364.0	1,533.0	1,101.8		660.0	2,154.8	1,843.1	1,195.3			
Y/Y growth	30.6%	28.1%	31.7%	33.5%	36.0%		38.0%	40.0%	38.0%	36.0%	37.9%	33.5%	31.0%
Q/Q growth		2.6%	11.1%	11.3%	7.3%		4.1%	12.7%	9.7%	5.7%			
Cloud Backlog	93,200.0	92,400.0	108,200.0	157,700.0	164,964.0	164,964.0	157,080.0	167,710.0	189,240.0	194,857.5	194,857.5	230,689.2	269,882.9
Incremental Cloud Backlog (Y/Y)	19,100.0	19,900.0	29,400.0	70,900.0	71,764.0	71,764.0	64,880.0	59,510.0	31,540.0	29,693.5	29,693.5	36,011.6	39,213.8
Incremental Cloud Backlog (Q/Q)		(800.0)	15,800.0	49,500.0	7,264.0		(7,884.0)	10,630.0	21,530.0	5,417.5			
Y/Y growth	25.8%	27.4%	37.3%	81.7%	77.0%	77.0%	70.0%	55.0%	20.0%	18.0%		18.5%	17.0%
Q/Q growth		-0.9%	17.1%	45.7%	4.6%		-4.8%	6.8%	12.8%	2.9%			
Total Google Revenues	348,159.0	89,524.0	96,167.0	102,209.0	111,594.6	399,494.6	103,616.5	110,728.1	116,825.2	128,740.9	457,910.7	519,322.0	588,190.5
Y/Y growth	13.9%	11.9%	14.1%	16.3%	16.2%	14.7%	15.7%	15.1%	14.3%	13.6%	14.6%	13.4%	13.3%
Q/Q growth		-6.8%	7.4%	6.3%	9.2%		-7.1%	6.9%	5.5%	8.5%			
Other Bets	1,648.0	450.0	370.0	380.0	380.0	1,547.0	499.5	410.3	372.2	408.6	1,689.6	1,928.2	2,167.0
Y/Y growth	7.9%	-9.1%	2.2%	-11.3%	-5.0%	-6.1%	11.0%	10.0%	6.5%	7.0%	9.2%	14.0%	12.5%
Q/Q growth		12.5%	-17.1%	-7.8%	10.5%		31.4%	-17.9%	-9.0%	8.9%			
Hedging GL	211.0	260.0	(112.0)	(207.0)	-	(59.0)	-	-	-	-	-	-	-
Y/Y growth	-10.6%	261.1%	-209.8%	-1317.6%	-	-128.0%	-	-	-	-	-100.0%	-	-
Q/Q growth		1200.0%	-143.1%	84.8%	-		-	-	-	-			
Total revenue	350,018.0	90,234.0	96,428.0	102,348.0	111,974.6	400,982.6	104,116.0	111,136.4	117,198.5	127,147.5	459,600.4	521,248.1	590,357.5
Y/Y growth	13.9%	12.0%	13.8%	15.0%	16.1%	14.6%	15.4%	15.3%	14.5%	13.6%	14.6%	13.4%	13.3%
Q/Q growth		-6.5%	6.9%	6.1%	9.4%		-7.0%	6.7%	5.5%	8.5%			
Seasonality		31.9%	34.1%	36.2%	36.4%		33.9%	36.2%	38.1%	41.4%			
Y/Y growth ex-FX	14.8%	13.8%	13.4%	14.7%									
Gross Revenue As a % of Alphabet Total Gross Revenue													
Google Search and Other	56.6%	56.2%	56.2%	55.3%	55.3%	55.7%	55.3%	54.9%	53.8%	53.8%	54.4%	52.7%	51.0%
YouTube Ads	10.3%	9.9%	10.2%	10.0%	10.6%	10.2%	9.8%	9.9%	9.7%	10.4%	10.0%	9.7%	9.4%
Google Properties	66.9%	66.1%	66.4%	65.3%	65.9%	65.9%	65.0%	64.7%	63.5%	64.1%	64.3%	62.4%	60.4%
Google Network Websites	8.7%	8.0%	7.6%	7.2%	7.0%	7.4%	6.8%	6.4%	6.1%	5.9%	6.3%	5.4%	4.7%
Total Advertising Revenues	75.6%	74.1%	74.0%	72.5%	72.8%	73.3%	71.8%	71.1%	69.6%	70.1%	70.6%	67.8%	65.1%
Google Subscriptions, Platforms, and Devices	11.5%	11.5%	11.6%	12.6%	12.3%	12.0%	11.5%	11.4%	12.2%	12.2%	11.8%	11.5%	11.1%
Google Cloud	12.4%	13.4%	14.1%	14.6%	14.5%	14.3%	16.2%	16.3%	17.8%	17.6%	17.2%	20.2%	23.4%
Total Google	99.5%	99.2%	99.7%	99.9%	99.7%	99.6%	99.5%	99.6%	99.7%	99.7%	99.6%	99.6%	99.6%
Other Bets	0.5%	0.5%	0.4%	0.3%	0.3%	0.4%	0.5%	0.4%	0.3%	0.3%	0.4%	0.4%	0.4%
Hedging	0.1%	0.3%	-0.1%	-0.2%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Total Alphabet Gross Revenue	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%
TAC & Net Revenue Analysis													
Google Search and Other Revenue	198,084.0	50,702.0	54,190.0	56,567.0	61,868.0	223,327.9	57,546.8	60,963.8	63,072.2	68,365.2	249,947.9	274,942.7	301,062.2
TAC Google Search and Other	33,961.6	8,813.9	9,682.2	9,845.9	10,765.2	39,107.2	10,070.7	10,912.5	11,100.7	12,032.3	44,116.2	48,694.9	53,589.1
TAC as a % of Google Search & Other Revs	17.1%	17.4%	17.9%	17.4%	17.4%	17.5%	17.5%	17.9%	17.6%	17.6%	17.7%	17.7%	17.8%
Y/Y growth	15.9%	12.6%	17.4%	15.2%	14.0%	15.2%	14.3%	12.7%	12.7%	11.8%	12.8%	10.3%	10.1%
Q/Q growth		-6.6%	9.9%	1.7%	9.3%		-6.5%	8.4%	1.7%	8.4%			
Google Network Websites Revenue	30,359.0	7,256.0	7,354.0	7,354.0	7,794.9	29,758.9	7,038.3	7,059.8	7,096.6	7,561.1	28,755.8	28,180.7	27,758.0
TAC Google Network Websites	20,938.4	4,934.1	5,022.8	5,030.1	5,339.5	20,328.5	4,866.4	4,836.0	4,861.2	5,178.3	19,732.9	19,303.8	19,014.2
TAC Share	69.0%	68.0%	68.3%	68.4%	68.5%	68.3%	69.0%	68.5%	68.5%	68.5%	68.6%	68.5%	68.5%
Y/Y growth	-3.0%	-3.5%	-2.2%	-2.7%	-1.3%	-2.9%	-1.6%	-3.7%	-3.4%	-3.0%	-2.9%	-2.2%	-1.5%
Q/Q growth		-8.6%	1.8%	0.1%	6.2%		-9.0%	-0.4%	0.5%	6.5%			
Total TAC	54,900.0	13,748.0	14,705.0	14,876.0	16,104.7	59,435.7	14,927.1	15,748.5	15,961.9	17,211.6	63,849.1	67,988.7	72,603.3
TAC as a % of Google Search & Other + Network Revenue	24.0%	23.7%	23.9%	23.3%	23.1%	23.5%	23.1%	23.2%	22.7%	22.7%	22.9%	22.4%	22.1%
Y/Y growth	7.9%	6.2%	9.8%	8.4%	8.5%	8.3%	8.6%	7.1%	7.3%	6.9%	7.4%	6.5%	6.8%
Q/Q growth		-7.4%	7.0%	1.2%	8.3%		-7.3%	5.5%	1.4%	7.8%			
Seasonality		27.0%	28.9%	30.4%	29.3%		27.2%	28.7%	29.1%	31.4%			
NET REVENUE BY SEGMENT													
Net Revenue Google Search and Other	164,122.4	41,888.1	44,507.8	46,721.1	51,103.7	184,220.7	47,476.1	50,051.2	51,971.5	56,332.9	205,831.7	226,277.8	247,473.2
Y/Y growth	12.6%	9.3%	10.6%	14.4%	14.6%	12.2%	13.3%	12.5%	11.2%	10.2%	11.7%	9.9%	9.4%
Q/Q growth		-6.1%	6.3%	5.0%	9.4%		-7.1%	5.4%	3.8%	8.4%			
Net Revenue Google Network Websites	9,420.6	2,321.9	2,331.2	2,323.9	2,465.4	9,432.4	2,181.9	2,223.8	2,236.4	2,361.7	9,022.9	8,876.9	8,743.8
Y/Y growth	-3.0%	-3.5%	-1.0%	-2.3%	-3.5%	0.1%	-6.0%	-4.6%	-3.8%	-3.0%	-4.3%	-1.6%	-1.5%
Q/Q growth		-8.6%	0.4%	-0.3%	5.7%		-11.1%	1.9%	0.5%	6.5%			
Total Google Search, Other, and Website Net Revenue	173,543.0	44,210.0	46,839.0	49,045.0	53,569.1	193,653.1	49,658.0	52,275.1	54,208.9	58,714.6	214,854.6	235,154.8	256,216.9
Y/Y growth	11.6%	8.8%	10.0%	13.5%	13.6%	11.6%	12.3%	11.6%	10.5%	9.6%	10.9%	9.4%	9.0%
Q/Q growth		-6.2%	5.9%	4.7%	9.2%		-7.3%	5.3%	3.7%	8.3%			
As % of Total Net Revenue													
Google Search and Other	55.6%	54.8%	54.5%	53.4%	53.3%	53.9%	53.2%	52.5%	51.3%	51.2%	52.0%	49.9%	47.8%
YouTube Ads	12.2%	11.7%	12.0%	11.7%	12.4%	12.0%	11.4%	11.5%	11.3%	12.0%	11.6%	11.1%	10.7%
Google Properties	67.9%	66.4%	66.4%	65.1%	65.7%	65.9%	64.6%	64.0%	62.6%	63.2%	63.6%	61.1%	58.5%
Google Network Websites	3.2%	3.0%	2.9%	2.7%	2.6%	2.8%	2.4%	2.3%	2.2%	2.2%	2.3%	2.0%	1.

Figure 16. GOOGLE Revenue Analysis, \$ in millions (2024A-2028E)

GOOGLE CLOUD BACKLOG ANALYSIS													
	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E
Cloud Backlog	83,200.0	92,400.0	100,200.0	157,700.0	164,940.0	164,940.0	157,080.0	167,710.0	184,240.0	194,675.0	194,675.0	230,693.2	266,882.9
Incremental Cloud Backlog (YY)	19,100.0	19,900.0	29,400.0	70,900.0	71,764.0	71,764.0	64,680.0	59,510.0	31,540.0	29,693.5	29,693.5	36,011.6	39,213.8
Incremental Cloud Backlog (Q/Q)	YY growth	25.8%	27.4%	37.3%	81.7%	77.0%	77.0%	77.0%	70.0%	55.0%	20.0%	18.0%	15.0%
Q/Q growth	-0.9%	17.1%	15.9%	17.1%	45.7%	46.0%	46.0%	46.0%	46.0%	46.0%	46.0%	46.0%	46.0%
Backlog Recognized over Next 24 Months	60.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%	50.0%
Implied Cloud Revenue from Backlog	19,612.5	6,825.0	6,382.5	7,438.8	10,841.9	30,468.1	11,341.3	10,799.3	11,830.1	13,010.3	46,880.8	63,538.0	63,540.0
YY growth	24.1%	25.8%	40.2%	51.0%	89.9%	56.1%	94.7%	70.0%	55.0%	30.5%	53.3%	14.7%	18.5%
Q/Q growth	45.1%	7.4%	9.1%	17.1%	45.7%	4.6%	4.6%	4.6%	4.6%	12.8%	59.1%	45.9%	45.9%
% of Total Cloud Revenue	45.1%	47.5%	46.6%	49.1%	51.6%	53.2%	67.0%	56.6%	55.1%	58.8%	50.9%	51.0%	45.9%
In-Period Cloud Revenue	23,716.8	6,485.0	7,271.5	7,718.3	5,416.9	26,841.7	5,877.8	8,274.4	9,386.8	9,101.7	32,340.2	51,962.3	74,791.9
YY growth	36.5%	30.2%	29.0%	20.1%	-17.0%	13.2%	-13.3%	13.8%	21.6%	68.0%	20.5%	69.3%	70.7%
Q/Q growth	-1.5%	13.0%	6.1%	-29.8%	3.0%	48.4%	12.4%	13.4%	-3.0%	41.2%	40.9%	40.3%	54.1%
% of Total Cloud Revenue	54.9%	52.5%	53.4%	50.9%	33.3%	46.8%	33.0%	43.4%	44.9%	41.2%	40.9%	49.7%	54.1%
Total Google Cloud Revenue	43,228.0	12,280.0	13,654.0	15,167.0	10,268.8	87,290.8	16,918.8	10,078.8	20,918.7	22,112.0	79,021.0	108,483.0	138,196.9
Incremental Google Cloud Revenues (YY)	10,141.0	2,680.0	3,277.0	3,804.0	4,303.8	14,070.8	4,658.8	5,449.6	5,759.7	5,853.2	21,721.2	26,472.0	32,702.9
Incremental Google Cloud Revenues (Q/Q)	YY growth	-	305.0	1,364.0	1,533.0	1,101.8	-	660.0	2,154.8	1,843.1	1,195.3	-	-
Q/Q growth	30.6%	28.1%	31.7%	33.5%	38.0%	32.5%	38.0%	40.0%	38.0%	36.0%	37.9%	33.5%	37.0%
Q/Q growth	2.6%	11.1%	11.3%	7.3%	7.3%	4.1%	12.7%	9.7%	5.7%	-	-	-	-
ALPHABET SEGMENT SUMMARY													
	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E
Google Services													
Google Services Gross Revenue	304,930.0	77,264.0	82,543.0	87,052.0	95,335.8	342,194.8	86,697.7	91,654.5	95,908.6	104,628.9	378,889.7	413,828.9	449,994.6
YY growth	11.9%	9.8%	11.7%	13.8%	13.4%	12.2%	12.2%	11.0%	10.2%	9.7%	10.7%	9.2%	8.7%
Q/Q growth	87.1%	86.6%	86.6%	85.1%	85.1%	85.3%	83.3%	82.5%	81.8%	82.3%	82.4%	81.4%	76.2%
TAC	54,000.0	13,740.0	14,705.0	14,876.0	16,104.7	59,430.0	14,927.1	15,748.5	15,961.9	17,211.6	63,849.1	67,968.7	72,603.3
YY growth	7.9%	9.2%	8.4%	8.8%	8.5%	8.3%	8.6%	7.1%	7.3%	6.9%	7.4%	6.5%	6.8%
Q/Q growth	15.7%	15.2%	15.2%	14.2%	14.3%	14.8%	14.3%	14.2%	13.6%	13.5%	13.9%	12.9%	12.0%
Google Services Net Revenue	250,930.0	63,519.0	67,838.0	72,175.0	79,231.1	282,764.8	71,770.6	75,909.5	79,947.6	87,417.3	315,040.6	346,860.2	377,361.2
YY growth	12.8%	10.6%	12.1%	14.9%	14.4%	13.1%	13.0%	11.9%	10.8%	10.3%	11.4%	9.8%	9.1%
Q/Q growth	-8.3%	6.8%	6.8%	6.4%	8.8%	-9.4%	5.8%	5.8%	5.3%	9.3%	11.4%	10.9%	9.8%
Google Services Operating expenses	128,767.0	30,834.0	34,776.0	36,940.0	40,143.4	144,401.4	34,490.0	36,802.8	38,706.0	42,860.0	163,084.0	168,258.5	176,383.6
YY growth	2.4%	-4.3%	12.7%	21.0%	10.2%	12.1%	71.0%	6.3%	7.1%	7.0%	6.0%	6.8%	7.2%
Q/Q growth	-15.3%	12.8%	11.1%	3.9%	3.9%	-14.1%	7.1%	4.7%	11.0%	18.1%	49.6%	47.2%	47.2%
Opex as a % of services net revenue	51.3%	48.5%	51.3%	53.5%	50.7%	51.1%	48.5%	48.5%	48.5%	48.5%	48.5%	48.5%	47.2%
Google Services GAAP Operating Income	121,283.0	32,685.0	33,062.0	35,235.0	39,087.7	138,363.4	37,280.6	39,096.7	41,241.6	44,557.3	151,941.1	179,601.7	197,975.8
YY growth	26.5%	17.2%	11.4%	8.7%	19.0%	14.1%	14.1%	17.8%	23.0%	13.8%	10.9%	10.7%	10.2%
Q/Q growth	-8.3%	6.8%	6.8%	6.4%	16.6%	-9.4%	5.8%	5.8%	5.3%	9.3%	11.4%	10.9%	9.8%
Google Services margin (on Gross Revenue)	39.8%	42.3%	40.1%	38.5%	41.0%	40.4%	43.0%	42.5%	43.0%	42.5%	42.7%	43.4%	44.0%
YY bps change	0.046	0.027	(0.001)	(0.018)	0.020	0.007	0.004	0.004	0.004	0.015	0.023	0.007	0.006
Google Services margin (on Net Revenue)	48.5%	51.5%	48.7%	46.5%	47.6%	49.3%	48.5%	51.9%	51.3%	51.6%	50.9%	51.4%	51.9%
Google Services Operating Leverage (Change in OI/Change in Net Rev)	89.5%	78.9%	46.4%	28.3%	62.6%	52.2%	59.7%	73.0%	99.3%	65.7%	57.3%	57.1%	58.3%
Google Cloud Summary													
Google Cloud Revenue	43,228.0	12,280.0	13,654.0	15,167.0	10,268.8	87,290.8	16,918.8	10,078.8	20,918.7	22,112.0	79,021.0	108,483.1	138,196.9
YY growth	30.6%	28.1%	31.7%	33.5%	38.0%	32.5%	38.0%	40.0%	38.0%	36.0%	37.9%	33.5%	31.0%
Q/Q growth	12.4%	2.6%	11.1%	11.3%	7.3%	14.3%	4.1%	12.7%	9.7%	5.7%	17.2%	20.2%	23.4%
% of Total Revenue	12.4%	13.6%	14.1%	14.8%	14.5%	14.3%	16.2%	17.2%	17.8%	17.4%	20.2%	23.5%	24.0%
Cloud Operating expenses	37,117.0	10,063.0	10,789.0	11,058.0	12,372.9	44,818.0	12,757.7	14,309.2	15,952.9	16,992.8	59,024.7	77,537.4	100,182.0
YY growth	18.3%	16.2%	17.7%	22.0%	22.5%	20.7%	26.7%	32.5%	34.8%	32.2%	31.7%	31.4%	31.4%
Opex as a % of Cloud Revenue	85.9%	82.2%	79.3%	76.3%	76.1%	78.2%	75.5%	75.0%	74.5%	74.0%	74.7%	73.5%	72.5%
Google Cloud GAAP Operating Income	6,112.0	2,177.0	2,828.0	3,694.0	3,895.9	12,482.9	4,161.1	4,788.4	5,333.7	5,749.1	19,986.4	27,966.7	36,003.9
YY growth	255.2%	141.9%	141.1%	84.6%	85.7%	104.2%	90.4%	68.7%	48.4%	47.9%	60.2%	39.8%	39.8%
Google Cloud Margin	14.1%	17.8%	20.7%	23.7%	23.9%	21.8%	24.5%	25.0%	25.5%	26.0%	25.3%	26.5%	27.0%
YY bps change	0.090	0.084	0.094	0.066	0.064	0.018	0.018	0.007	0.003	0.012	0.035	0.012	0.010
Google Cloud Operating Leverage (Change in OI/Change in Rev)	43.3%	47.5%	50.5%	43.3%	41.7%	45.3%	42.2%	35.6%	30.2%	31.8%	34.6%	30.1%	30.7%
Other Bets Summary													
Other Bets Revenue	1,448.0	490.0	370.0	344.0	360.0	1,547.0	490.0	410.3	373.2	400.6	1,899.0	1,998.2	2,167.0
YY growth	7.9%	-9.1%	2.2%	-11.3%	-5.0%	-6.1%	11.0%	10.0%	8.5%	7.0%	9.2%	14.0%	12.5%
Q/Q growth	12.5%	-17.1%	-7.8%	10.5%	3.0%	31.4%	-17.9%	-9.0%	8.9%	0.4%	0.4%	0.4%	0.4%
% of Total Revenue	0.5%	0.5%	0.4%	0.5%	0.4%	0.4%	0.5%	0.4%	0.3%	0.3%	0.4%	0.4%	0.4%
Operating expenses	6,082.0	1,876.0	1,819.0	1,770.0	1,800.0	6,085.0	1,873.1	1,838.8	1,843.7	1,800.5	6,015.9	4,141.9	4,177.0
YY growth	8.4%	10.6%	8.0%	17.7%	20.7%	14.3%	11.8%	-5.0%	-24.1%	-33.7%	-13.6%	-31.2%	-0.9%
Opex as a % of Other Bets Revenue	369.7%	372.4%	494.6%	514.5%	500.0%	393.6%	375.0%	375.0%	375.0%	375.0%	395.0%	215.0%	190.0%
Other Bets GAAP Operating Income	(4,444.0)	(1,228.0)	(1,246.0)	(1,426.0)	(1,220.0)	(4,516.0)	(1,373.0)	(1,128.3)	(970.4)	(383.9)	(4,338.2)	(2,215.1)	(1,953.9)
YY growth	8.5%	20.2%	9.9%	27.8%	29.5%	21.9%	12.0%	-9.4%	-31.9%	-43.8%	-20.2%	-48.8%	-12.0%
Other Bets Margin	-269.7%	-272.4%	-334.0%	-414.5%	-400.0%	-350.2%	-275.0%	-275.0%	-260.0%	-210.0%	-256.0%	-115.0%	-90.0%
Alphabet-level Activities													
Alphabet-level Activities (Costs)	(10,541.0)	(3,027.0)	(3,372.0)	(4,497.0)	(3,393.2)	(14,259.2)	(3,862.4)	(3,483.4)	(4,400.7)	(4,398.0)	(15,045.3)	(14,058.3)	(9,546.9)
YY growth	14.8%	31.3%	31.7%	47.4%	41.1%	21.9%	35.3%	21.0%	3.3%	-1.5%	29.6%	11.8%	-33.5%
Total Operating Income	112,380.0	30,608.0	31,271.0	31,228.0	36,003.3	131,165.3	38,388.1	36,108.9	41,203.3	44,983.8	161,686.0	191,283.9	224,705.3
Total Alphabet Operating Income Margin	32.1%	33.9%	32.4%	30.2%	35.4%	34.7%	32.7%	35.0%	35.2%	35.2%	35.4%	35.2%	36.7%
Alphabet Operating Leverage (Change in OI/Change in Gross Rev)	65.9%	53.0%	32.9%	19.5%	45.7%	36.8%	41.7%	53.3%	67.2%	45.5%	52.0%	48.0%	48.1%
INTERNATIONAL & EX-FX ANALYSIS													
	2024A	1Q25A	2Q25A	3Q25A	4Q25E	2025E	1Q26E	2Q26E	3Q26E	4Q26E	2026E	2027E	2028E
US revenue	170,447.0	43,954.0	46,003.0	48,768.0	53,747.8	192,532.8	49,876.7	53,235.3	56,020.9	60,522.2	216,754.0	274,141.1	278,823.4
YY growth	16.5%	13.5%	11.8%	13.0%	13.5%	13.0%	13.7%	15.6%	14.9%	12.6%	14.1%	12.9%	12.8%
EMEA revenue - as reported	102,127.0	25,923.0	26,202.0	29,911.0	33,032.5	117,128.5	30,610.1	32,788.5	34,690.0	37,162.3	135,849.5	156,374.4	180,059.0
YY growth	12.2%	8.0%	14.5%	17.4%	17.2%	14.7%	16.1%	16.0%	16.0%	14.3%	16.0%	15.1%	15.1%
Exclude FX effect on current period using prior year FX	-41	724.00	(780.00)	(1,261.00)									
Exclude hedging effect in current period	102,086.0	26,647.0	27,482.0	28,650.0									

Bull/Bear: Alphabet Inc (GOOGL.O)

US\$ **437.00**
▲ 33% Upside

US\$ **350.00**
▲ 6.6% Upside

US\$ **259.00**
▼ 21% Downside



Spread 54pp
Current Price and expected returns (upside/downside) as of 21 Jan 2026

BULL Assumptions

- 2027 Revenue Growth ~15%
- 2027 GAAP EPS Margin ~34%
- 2027 GAAP P/E ~30x

BASE Assumptions

- 2027 Revenue Growth ~15%
- 2027 GAAP EPS Margin ~31%
- 2027 GAAP P/E ~27x

BEAR Assumptions

- 2027 Revenue Growth ~11%
- 2027 GAAP EPS Margin ~25%
- 2027 GAAP P/E ~24x

Alphabet Inc

Company description

Alphabet Inc. is a web-based service aimed at organizing information and improving the way people connect with information. It operates through the Google and Other segments. Google provides search capabilities across different media (web, images, video, maps, etc.), cloud-based services, software technologies, and online advertising to its users. Its advertising program, AdWords, is an auction-based program through which Alphabet Inc. generates most of its revenue. Other consists of businesses such as Waymo.

Investment strategy

We rate Alphabet as a Buy. We view Alphabet as one of the best-positioned companies in the Internet sector. Across Google's advertising products, Search growth reaccelerated in 2024 as the company has reinvested in an improved search experience underscored by its AI and ML initiatives, and its focus on eCommerce has improved its overall relevancy for users and advertisers, in our view.

Valuation

Our \$350 target price is based on ~27x our GAAP EPS of \$13.22 for 2027E. We recognize this represents a premium to the market and to Google's historical multiple range, but given Google Cloud revenue reaccelerating as TPU and Gemini demand ramp and query volume strength, believe shares can trade a premium. We reiterate our Buy rating on shares given our view that Google's product halo can lead to continued Search usage, and we are impressed with Gemini 3 and the expanded version of AI Mode.

Risks

Risks to Alphabet's target price include: 1) adverse economic and/or consumer spending trends could hinder advertising spend; 2) competition could prove to have a greater impact on company performance than we anticipate; 3) internet advertising spend could decelerate faster than we anticipate; and 4) regulatory pressures on anti-trust, data, and privacy practices could potentially have an adverse impact on performance.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely

with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

Alphabet Inc (GOOGL)

Ratings and Target Price History Fundamental Research

Analyst: Ronald Josey



	Date	Rating	Target Price	Closing Price
1	26-Apr-23 04:39:06	1	*130.00	103.71
2	26-Jul-23 02:38:58	1	*153.00	129.27
3	31-Jan-24 03:30:54	1	*168.00	140.10
4	26-Apr-24 03:06:13	1	*190.00	171.95
5	24-Jul-24 01:37:30	1	*212.00	172.63

*Indicates Change

	Date	Rating	Target Price	Closing Price
6	30-Oct-24 03:55:06	1	*216.00	174.46
7	20-Dec-24 11:14:23	1	*232.00	191.41
8	05-Feb-25 01:53:47	1	*229.00	191.33
9	10-Apr-25 00:57:50	1	*195.00	152.82
10	25-Apr-25 03:30:51	1	*200.00	161.96

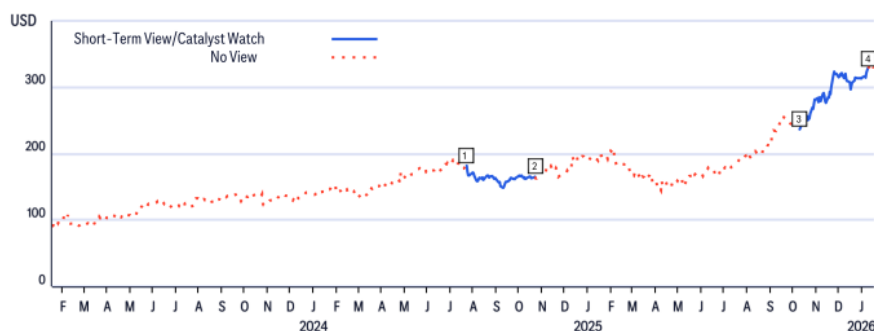
	Date	Rating	Target Price	Closing Price
11	24-Jun-25 05:00:48	1	*203.00	166.77
12	24-Jul-25 05:11:15	1	*225.00	192.17
13	15-Sep-25 07:35:33	1	*280.00	251.61
14	30-Oct-25 04:41:34	1	*343.00	281.48
15	19-Dec-25 07:17:53	1	*350.00	307.16

Rating/target price changes above reflect Eastern Time

Alphabet Inc (GOOGL)

Short-Term View/Catalyst Watch Research

Analyst: Ronald Josey



	Date	Action	Expected Direction	Duration	Closing Price
1	23-Jul-24 21:37:30	Add STV	Upside	90 Days	181.79
2	22-Oct-24 12:28:09	Remove STV	Upside	90 Days	165.14

CW - Catalyst Watch, STV - Short-Term View

	Date	Action	Expected Direction	Duration	Closing Price
3	12-Oct-25 20:59:21	Add STV	Upside	90 Days	236.57
4	09-Jan-26 12:28:52	Remove STV	Upside	90 Days	328.57

Rating/target price changes above reflect Eastern Time

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